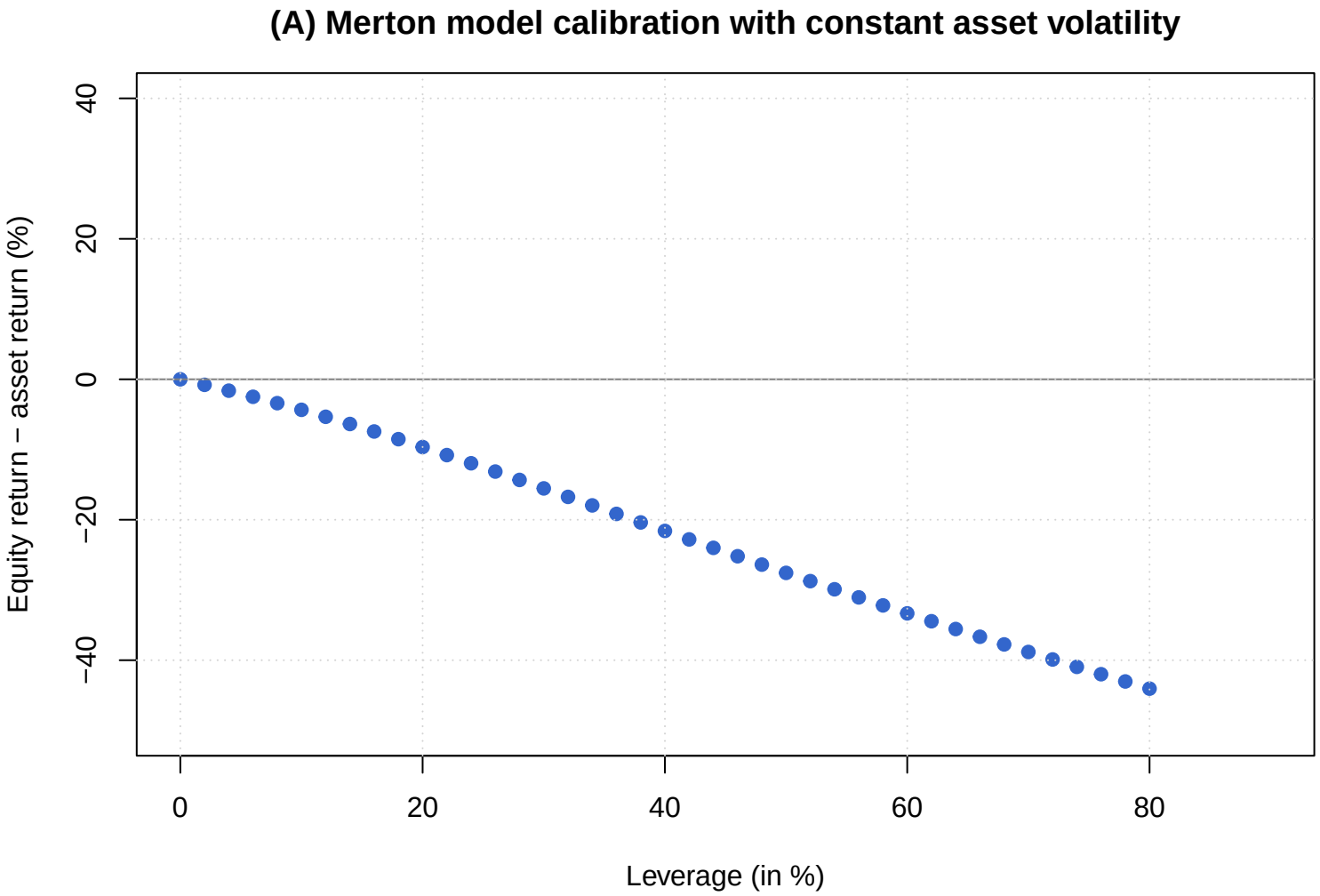
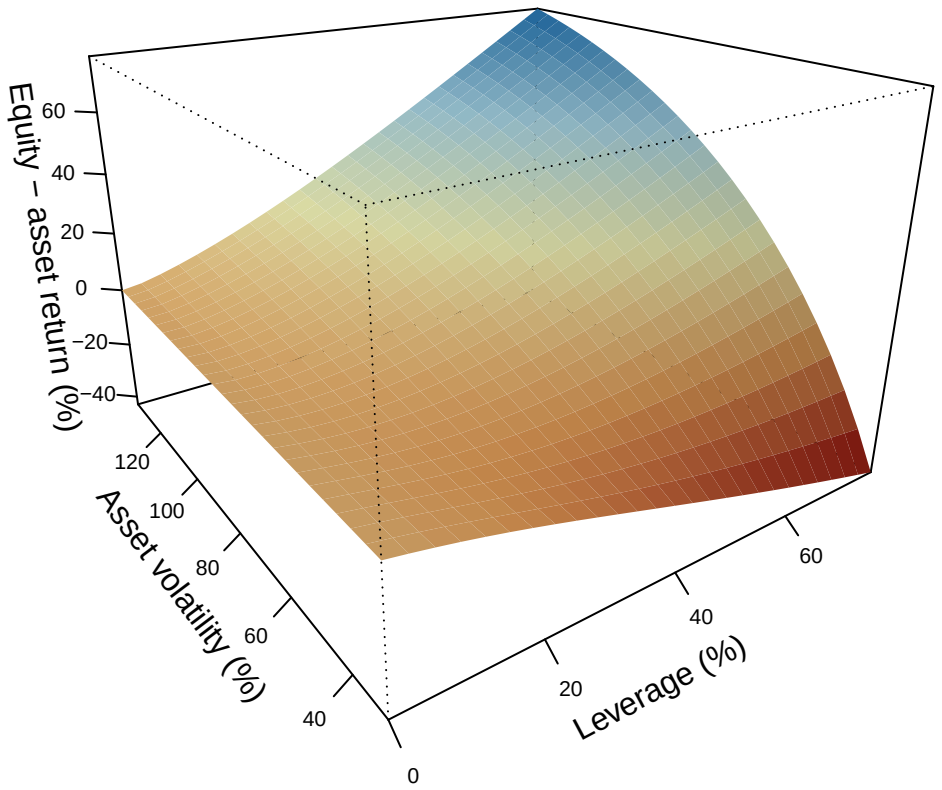

(A) Merton model calibration with constant asset volatility
Equity return − asset return (%)
40
20
0
−20
−40
0
20
40
60
80
Leverage (in %)


(B) Merton model calibration with varying asset volatility
Equity − asset return (%)
60
40
20
0
−20
−40
Asset volatility (%)
120
100
80
60
40
Leverage (%)
0
20
40
60